expansion in tea areas.

"The oversupply plaguing the tea sector in unlikely to correct itself in the immediate future as consumption and exports cannot be increased immediately," says Raha. "Policy intervention by the government to support generic promotion, incentivising exports and the checking of oversupply merit immediate consideration for the sustainability of the sector." Kanoria agrees. "We need funds from the government for generic promotion of tea in both domestic and international markets," he says. But Saurav Pahari, deputy chairman of the Tea Board, a statutory body under the Union ministry of commerce, says that though generic promotion must be encouraged, it should be driven by the industry.

Kanoria also points out that the Tea (Marketing) Control Order issued by the commerce ministry—which regulates the manufacture and sale of tea—that each garden sell a minimum 50 per cent of its produce through auctions is not implemented. "Unlike Sri Lanka, Indian growers can sell through the auction as well as the private market. The latter is a free for all. Unless we have a robust and vibrant auction system in place, proper price recovery is impossible," he adds.



"The oversupply plaguing the tea sector is unlikely to correct itself in the immediate future as consumption and exports cannot be increased immediately"

ARIJIT RAHA
Secretary General, ITA



"Diversification of the business portfolio, like into tourism, and adding value to the produce is the key to survival"

RUDRA CHATTERJEE
MD, Luxmi Group

LOOKING FOR SOLUTIONS

The ITA has petitioned the ministry and the West Bengal government, seeking a separate financial package for the Darjeeling tea sector. It has sought an enhancement of the working capital loan with moratorium and an interest subvention (or reduction) on the loan, among other demands. More importantly, it has sought the introduction of a minimum import price for teas imported from Nepal—branded as Himalayan tea—which has allegedly devoured the market of Darjeeling tea, which has a Geographical Indication tag. The demand comes in spite of the Indo-Nepal free trade agreement, because Nepali tea imports have forced the Darjeeling produce to drop from 10 mkg to 6.5 mkg in the last decade. In fact, the parliamentary standing committee on commerce in its 171st report recommended a financial relief package for the Darjeeling tea industry.

Mohit Agarwal, founder of the Asian Tea Group who owns five tea plantations in Assam, says that subsidies are not a solution. Admitting that the oversupply of produce is the biggest menace, Agarwal suggests that the tea plucking season must be closed early. "We start plucking from around March and continue till December 15 or so. Let us close two weeks early, by December 1. This will curtail the supply manifold and spare consumers from poor quality tea," Agarwal says. He suggests that factories that procure from small growers should incentivise the plucking of better quality green leaves through better payments.

There is a logic to this belief. For, as long as there are low quality teas in the market, one cannot expect the consumer to spend more money to purchase good tea. The industry as a whole, says Agarwal, must decide to adopt the habit of producing good quality teas. He backs Kanoria's demand for a stronger auction system.

However, according to Tea Board's Pahari, the auction system needs time to stabilise. "We have taken on board the demands of the industry, and are trying to make the system as useful as possible for all stakeholders," he says.

Rudra Chatterjee, managing director of the Luxmi Group, who are producers and exporters of fine teas, believes that diversification of the business portfolio is the key to survival. According to him, value addition to the produce and offering more options to choose from will give a fillip to sales. He adds that the use of picturesque tea estates for tourism purposes must also be considered. He cites the iconic Makaibari tea estate in Darjeeling (owned by the Luxmi Group), which is home to the Taj Chia Kutir resort.

Gorkhaland Territorial Administration chief Anit Thapa has decided to distribute over Rs 2 crore in cash—Rs 4,500 each to the 5,000 workers of the closed gardens that fall under his jurisdiction—as a relief measure. But long-term solutions are the need of the hour. From diversifying the business, adding value to the produce and seeking subsidies from the government to suggestions of early closure of the plucking season, stakeholders in the tea industry have proposed a range of solutions. What is missing is a general consensus on how they can be implemented and who should take up the responsibility. Resolving that will be critical to put life back into the ailing industry. ■